FY2026 Loan Covenant Procedures · Draft Findings for the CPA

Findings for the CPA from agreed-upon procedures; not the procedures report, no opinion or conclusion.

Borrower	HANGS Construction Services LLC
Lender	Cinderbrook Bank, under the Loan Agreement dated March 31, 2025, as amended March 31, 2026
Engagement	Agreed-upon procedures on Sections 6.1, 6.5 and 7 at June 30, 2026, performed for the bank and the borrower as the engagement letter lists them.
Prepared from	11 files: the engagement letter, the agreement's Section 7 covenants and its facilities and reporting, the trial balance, the financial statements, the aging, the contract schedule, the debt schedule, the bank's confirmation, the fixed asset register and the compliance certificate
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed or signed. Nothing was sent to the bank or the borrower.

The Covenants at June 30, 2026

Working capital, as shown (minimum $3,000,000)	$4,795,195.07
Tangible net worth (minimum $6,500,000)	$6,997,195.07
Total liabilities, 2.05 times tangible net worth (maximum 2.75)	$14,333,505.64
Capital expenditures (limit $1,500,000)	$1,432,500.00

What the Procedures Found

Procedure	What was found	Amount
1 Statements	Every caption agrees with the trial balance	$0.00
2 Debt	Both loans agree with the books and the bank; the current portion recomputes	$720,000.00
2 Interest	The bank confirms June interest the books do not record (INT-01)	$28,665.00
3 Working capital	Met; retainage receivable is in current assets	$1,161,125.00
4 Net worth	Met, after every amount due from the affiliate	$292,500.00
5 Leverage	Met; the maximum would allow this much in total liabilities	$19,242,286.44
6 Capital spending	Met, narrowly (CAPEX-01)	$67,500.00
7-8 Reporting	Both reports on time; the certificate agrees with every result	$0.00

Signature: none. These are draft findings, not the agreed-upon procedures report, and express no opinion or conclusion on compliance. The CPA reviews the workpapers, decides every open item and issues the report. Nothing has been sent to the bank.

DRAFT FOR THE CPA

Draft Findings

The Exception, the Narrow Pass and the Question

Accrued interest per the bank, not in the books (INT-01)	**$28,665.00**
Capital expenditures under the limit (CAPEX-01)	$67,500.00
Office lease liability disclosed, not recognized (DEF-01)	$1,484,173.90
Total liabilities with the lease (DEF-01)	$15,817,679.54

What was done

The machine performed the eight procedures as written: it agreed the statements to the trial balance and the loans to the bank, recomputed the current maturities, computed working capital, tangible net worth and leverage exactly as Section 7.6 defines them, totaled the year's capital expenditures, compared the reporting dates with Section 6.1 and the certificate with every result.

What was found

Every covenant is met on the borrower's figures. One exception: the bank's accrued June interest. One narrow pass: capital expenditures. One question the definitions leave open: whether the office lease GAAP requires counts; on either reading the covenants are met (leverage 2.05 or 2.26 to 1.00).

What the CPA decides

1. The wording of the report, which states each procedure and finding and no conclusion. 2. How the report presents INT-01 and DEF-01. 3. The borrower's written representation (REP-01).

What the machine does not do

It does not give an opinion or a conclusion on compliance, sign anything, contact the bank or adjust the borrower's figures. The CPA issues the report; the machine stops here.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Working Capital · Working Capital, as Shown

$4,795,195.07

Workbook: Working Capital!B10

Draft figure · the CPA reviews and concludes

Working Capital!B10 = $4,795,195.07

=B8-B9

Working Capital!B8 = $16,968,700.71

='E05 Statements'!B13

E05 Statements!B13 = $16,968,700.71

Working Capital!B9 = $12,173,505.64

='E05 Statements'!B24

E05 Statements!B24 = $12,173,505.64

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Net Worth · Tangible Net Worth

$6,997,195.07

Workbook: Net Worth!B14

Draft figure · the CPA reviews and concludes

Net Worth!B14 = $6,997,195.07

=B8-B12-B13

Net Worth!B8 = $7,289,695.07

='E05 Statements'!B27

E05 Statements!B27 = $7,289,695.07

Net Worth!B12 = $292,500.00

=SUM(B9:B11)

Net Worth!B9 = $277,875.00

='E06 Receivables Aging'!F25

E06 Receivables Aging!F25 = $277,875.00

Net Worth!B10 = $14,625.00

='E06 Retainage'!F11

E06 Retainage!F11 = $14,625.00

Net Worth!B11 = $0.00

='E07 Job Schedule'!M11

E07 Job Schedule!M11 = $0.00

Net Worth!B13 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases

03 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F25, Retainage!F11

03 Client Accounting/June 30 2026 contract schedule.xlsx · Jun 30 2026!M11

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leverage · Total Liabilities, as Shown

$14,333,505.64

Workbook: Net Worth!B18

Draft figure · the CPA reviews and concludes

Net Worth!B18 = $14,333,505.64

='E05 Statements'!B26

E05 Statements!B26 = $14,333,505.64

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Limits · Capital Expenditures, FY2026

$1,432,500.00

Workbook: Limits!B10

Draft figure · the CPA reviews and concludes

Limits!B10 = $1,432,500.00

=B8

Limits!B8 = $1,432,500.00

='E10 Additions'!F15

E10 Additions!F15 = $1,432,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Fixed Assets/FY2026 fixed asset register.xlsx · Additions!F15

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Figures · Statements Less the Books, Added Up

$0.00

Workbook: Figures!D30

Draft figure · the CPA reviews and concludes

Figures!D30 = $0.00

=ROUND(SUM(D8:D26),2)

Figures!D8 = $0.00

=C8-B8

Figures!C8 = $5,534,665.71

='E05 Statements'!B8

E05 Statements!B8 = $5,534,665.71

Figures!B8 = $5,534,665.71

=('E04 Trial Balance'!D8+'E04 Trial Balance'!D9)

E04 Trial Balance!D8 = $5,361,685.31

E04 Trial Balance!D9 = $172,980.40

Figures!D9 = $0.00

=C9-B9

Figures!C9 = $9,915,260.00

='E05 Statements'!B9

E05 Statements!B9 = $9,915,260.00

Figures!B9 = $9,915,260.00

=('E04 Trial Balance'!D10+'E04 Trial Balance'!D11)

E04 Trial Balance!D10 = $9,637,385.00

E04 Trial Balance!D11 = $277,875.00

Figures!D10 = $0.00

=C10-B10

Figures!C10 = $1,161,125.00

='E05 Statements'!B10

E05 Statements!B10 = $1,161,125.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases

03 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D8, Trial Balance!D9, Trial Balance!D10, Trial Balance!D11, Trial Balance!D12, Trial Balance!D13

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Debt · Current Maturities, Recomputed

$720,000.00

Workbook: Debt!B16

Draft figure · the CPA reviews and concludes

Debt!B16 = $720,000.00

=B14*B15

Debt!B14 = $60,000.00

='Agreement'!B12

Agreement!B12 = $60,000.00

='E03 Loan Agreement'!B11

E03 Loan Agreement!B11 = $60,000.00

Debt!B15 = 12

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Loan Agreement/Cinderbrook Bank loan agreement facilities and reporting.pdf · PDF page 1; Sections 1.1, 2 and 6: Capital Expenditures, the facilities' terms, reporting deadlines and the capital expenditure limit

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Debt · Interest Expense, Agreed

$333,032.55

Workbook: Debt!B19

Draft figure · the CPA reviews and concludes

Debt!B19 = $333,032.55

='E04 Trial Balance'!D49

E04 Trial Balance!D49 = $333,032.55

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D49

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Debt · Accrued Interest per the Bank (INT-01)

$28,665.00

Workbook: Debt!B22

Draft figure · the CPA reviews and concludes

Debt!B22 = $28,665.00

=B20+B21

Debt!B20 = $17,040.00

='E09 Bank Confirmation'!B12

E09 Bank Confirmation!B12 = $17,040.00

Debt!B21 = $11,625.00

='E09 Bank Confirmation'!B19

E09 Bank Confirmation!B19 = $11,625.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Debt/Cinderbrook Bank loan confirmation June 30 2026.pdf · PDF page 1; the bank's principal, rate, maturity and accrued interest for each loan, and the reporting it received

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Working Capital · Retainage in Current Assets

$1,161,125.00

Workbook: Working Capital!B13

Draft figure · the CPA reviews and concludes

Working Capital!B13 = $1,161,125.00

='E05 Statements'!B10

E05 Statements!B10 = $1,161,125.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Net Worth · Amounts Due From the Affiliate

$292,500.00

Workbook: Net Worth!B12

Draft figure · the CPA reviews and concludes

Net Worth!B12 = $292,500.00

=SUM(B9:B11)

Net Worth!B9 = $277,875.00

='E06 Receivables Aging'!F25

E06 Receivables Aging!F25 = $277,875.00

Net Worth!B10 = $14,625.00

='E06 Retainage'!F11

E06 Retainage!F11 = $14,625.00

Net Worth!B11 = $0.00

='E07 Job Schedule'!M11

E07 Job Schedule!M11 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F25, Retainage!F11

03 Client Accounting/June 30 2026 contract schedule.xlsx · Jun 30 2026!M11

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Net Worth · Tangible Net Worth Above the Minimum

$497,195.07

Workbook: Net Worth!B16

Draft figure · the CPA reviews and concludes

Net Worth!B16 = $497,195.07

=B14-B15

Net Worth!B14 = $6,997,195.07

=B8-B12-B13

Net Worth!B8 = $7,289,695.07

='E05 Statements'!B27

E05 Statements!B27 = $7,289,695.07

Net Worth!B12 = $292,500.00

=SUM(B9:B11)

Net Worth!B9 = $277,875.00

='E06 Receivables Aging'!F25

E06 Receivables Aging!F25 = $277,875.00

Net Worth!B10 = $14,625.00

='E06 Retainage'!F11

E06 Retainage!F11 = $14,625.00

Net Worth!B11 = $0.00

='E07 Job Schedule'!M11

E07 Job Schedule!M11 = $0.00

Net Worth!B13 = $0.00

Net Worth!B15 = $6,500,000.00

='Agreement'!B9

Agreement!B9 = $6,500,000.00

='E02 Covenants'!B10

E02 Covenants!B10 = $6,500,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases

03 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F25, Retainage!F11

03 Client Accounting/June 30 2026 contract schedule.xlsx · Jun 30 2026!M11

02 Loan Agreement/Cinderbrook Bank loan agreement covenants.pdf · PDF page 1; Section 7 financial covenants and the Section 7.6 definitions (the Q3 2026 review folder's own file)

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leverage · Total Liabilities the Maximum Allows $19,242,286.44

Workbook: Net Worth!B20

Draft figure · the CPA reviews and concludes

Net Worth!B20 = $19,242,286.44
=ROUND(B14*B19,2)

Net Worth!B14 = $6,997,195.07
=B8-B12-B13

Net Worth!B8 = $7,289,695.07
='E05 Statements'!B27

E05 Statements!B27 = $7,289,695.07

Net Worth!B12 = $292,500.00
=SUM(B9:B11)

Net Worth!B9 = $277,875.00
='E06 Receivables Aging'!F25

E06 Receivables Aging!F25 = $277,875.00

Net Worth!B10 = $14,625.00
='E06 Retainage'!F11

E06 Retainage!F11 = $14,625.00

Net Worth!B11 = $0.00
='E07 Job Schedule'!M11

E07 Job Schedule!M11 = $0.00

Net Worth!B13 = $0.00

Net Worth!B19 = 2.75
='Agreement'!B10

Agreement!B10 = 2.75
='E02 Covenants'!B9

E02 Covenants!B9 = $2.75

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases
03 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F25, Retainage!F11
03 Client Accounting/June 30 2026 contract schedule.xlsx · Jun 30 2026!M11
02 Loan Agreement/Cinderbrook Bank loan agreement covenants.pdf · PDF page 1; Section 7 financial covenants and the Section 7.6 definitions (the Q3 2026 review folder's own file)
Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Working Capital · Office Lease Liability, Disclosed (DEF-01)

$1,484,173.90

Workbook: Working Capital!B15

Draft figure · the CPA reviews and concludes

Working Capital!B15 = $1,484,173.90

='E05 Statements'!B40

E05 Statements!B40 = $1,484,173.90

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Working Capital · Total Liabilities With the Lease (DEF-01)

$15,817,679.54

Workbook: Working Capital!B18

Draft figure · the CPA reviews and concludes

Working Capital!B18 = $15,817,679.54

='Net Worth'!B18+B15

Net Worth!B18 = $14,333,505.64

='E05 Statements'!B26

E05 Statements!B26 = $14,333,505.64

Working Capital!B15 = $1,484,173.90

='E05 Statements'!B40

E05 Statements!B40 = $1,484,173.90

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Limits · Under the Capital Expenditure Limit (CAPEX-01)

$67,500.00

Workbook: Limits!B12

Draft figure · the CPA reviews and concludes

Limits!B12 = $67,500.00

=B11-B10

Limits!B11 = $1,500,000.00

='Agreement'!B11

Agreement!B11 = $1,500,000.00

='E03 Loan Agreement'!B8

E03 Loan Agreement!B8 = $1,500,000.00

Limits!B10 = $1,432,500.00

=B8

Limits!B8 = $1,432,500.00

='E10 Additions'!F15

E10 Additions!F15 = $1,432,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Loan Agreement/Cinderbrook Bank loan agreement facilities and reporting.pdf · PDF page 1; Sections 1.1, 2 and 6: Capital Expenditures, the facilities' terms, reporting deadlines and the capital expenditure limit

05 Fixed Assets/FY2026 fixed asset register.xlsx · Additions!F15

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Limits · Certificate Against the Results, Differences

$0.00

Workbook: Limits!D26

Draft figure · the CPA reviews and concludes

Limits!D26 = $0.00

=ROUND(SUM(D20:D25),2)

Limits!D20 = $0.00

=B20-C20

Limits!B20 = $4,795,195.07

='E11 Certificate'!B10

E11 Certificate!B10 = $4,795,195.07

Limits!C20 = $4,795,195.07

='Working Capital'!B10

Working Capital!B10 = $4,795,195.07

=B8-B9

Working Capital!B8 = $16,968,700.71

='E05 Statements'!B13

E05 Statements!B13 = $16,968,700.71

Working Capital!B9 = $12,173,505.64

='E05 Statements'!B24

E05 Statements!B24 = $12,173,505.64

Limits!D21 = $0.00

=B21-C21

Limits!B21 = $6,997,195.07

='E11 Certificate'!B14

E11 Certificate!B14 = $6,997,195.07

Limits!C21 = $6,997,195.07

='Net Worth'!B14

Net Worth!B14 = $6,997,195.07

=B8-B12-B13

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Compliance/June 30 2026 compliance certificate.pdf · PDF page 1; the borrower's June 30, 2026 compliance certificate with the bank's received stamp

03 Client Accounting/FY2026 financial statements.pdf · PDF pages 1 and 2; the balance sheet at June 30, 2026, the income statement and the notes on capital, debt, the affiliate and leases

03 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F25, Retainage!F11

03 Client Accounting/June 30 2026 contract schedule.xlsx · Jun 30 2026!M11

05 Fixed Assets/FY2026 fixed asset register.xlsx · Additions!F15

Original documents are attached to this PDF. The workbook is attached too.

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WHAT STILL NEEDS A PERSON

INT-01 · $28,665.00: Procedure 2 exception. The bank confirms $17,040.00 of term loan and $11,625.00 of line interest accrued June 1 to 30, 2026, debited July 1. The debt schedule and account 2410 show $0.00: interest is recorded when paid. The report states the difference; it does not adjust the borrower's figures. The FY2026 audit's search for unrecorded liabilities proposes the same accrual.

DEF-01 · $1,484,173.90: Section 7.6 reads working capital from the statements "as shown … prepared under GAAP" and total liabilities as "shown on the balance sheet". The office lease is disclosed (note 4, $1,484,173.90, $290,219.17 current) but not recognized. As shown: working capital $4,795,195.07, total liabilities $14,333,505.64, 2.05 to 1.00. With it: $4,504,975.90, $15,817,679.54, 2.26 to 1.00. Both comply; the bank decides which the agreement means.

CAPEX-01 · $67,500.00: Capital expenditures of $1,432,500.00 are $67,500.00 under the $1,500,000.00 limit, 4.5% of it. Not an exception; reported because the margin is narrow and the definition counts full cost however paid for.

REP-01: No written representation from the borrower has been obtained for these procedures. It should cover the completeness of the debt, affiliate amounts and capital expenditures.

SIGN-01: These are draft workpapers and findings for the engagement partner. They are not the agreed-upon procedures report and give no opinion or conclusion. Nothing has been signed or sent to the bank.

These findings are a draft for the engagement partner. They are not the procedures report and express no opinion or conclusion; nothing has been signed or sent.

DRAFT FOR THE CPA